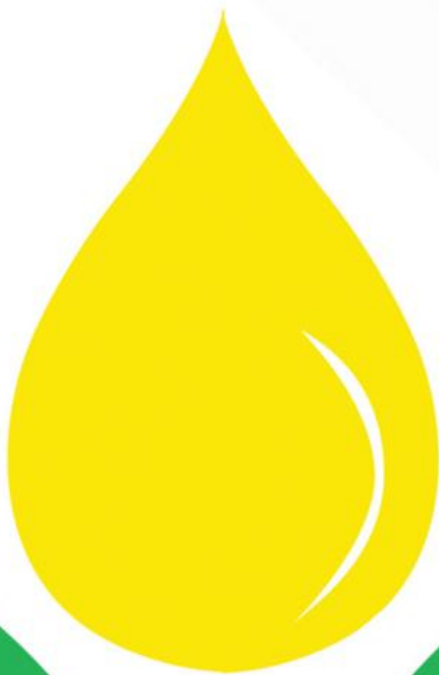


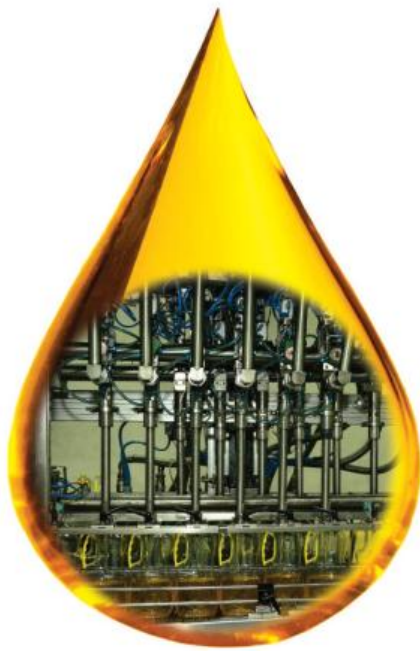


Omani Vegetable Oils
& Derivatives Company LLC

OMAN'S EDIBLE OIL INNOVATORS



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It was over a decade ago that three prominent Omani companies, envisioning major shifts in the GCC's edible oil industry, formed a consortium and set up Omani Vegetable Oils & Derivatives Co LLC at Salalah in the southern part of Oman. The decision proved a fortunate one, with the firm since rising to become one of the leading cooking oil suppliers not only in Oman but also in as many as 20 countries across the Middle East and North Africa (MENA) region. Euroasia Industry interviews the company's General Manager, Mr P. S. Kumar, to learn more about the company's organic growth, activities, facilities and future plans.

It was the bubbling entrepreneurial spirit and patriotism of three Omani companies – Dhofar Cattle Feed, Dhofar Insurance and Dhofar International Development & Investments Holdings – to provide the highest quality edible oils to its people that formed the foundational drive of Omani Vegetable Oils & Derivatives (OVOD), which commenced operations at Raysut Industrial Estate in Salalah in 2004.

The company commenced commercial production a year later and since then has swiftly expanded operations across two-dozen countries – aided in no small part by its strategically located production facility in Salalah, just a stone's throw away from Salalah Port.

The value of the cooking oil market in the GCC including Qatar, which stood at over US\$988 million in 2015, is expected to grow at a CAGR of 6.6 per cent to reach US\$1.71 billion in 2024, according to a report by Transparency Market Research. Such robust future

demand obviously bodes well for an internationally thriving operation like OVOD, and its General Manager Mr P. S. Kumar advises that the dynamic company is investing accordingly to ramp up its capabilities.

Trusted brands

Sensing the spurt in demand for edible oils, the company has introduced several brands under popular names such as Al Safa, Salalah, Taibah, Sahi, Bahjah, Diyah, Sun Drops, Sunlife, Zain, Zain Gold and A' Safwah – marketed both domestically and across the MENA region.

"We launched our commercial production with 8,000 metric tons (MT) in 2005 and today we are producing between 70,000 and 80,000MT of edible oils every year, while our business plan envisages to touch 100,000MT very shortly" reports Mr Kumar, adding that palm oil enjoys a 30-per-cent share of the GCC's edible oil market. As such, the company started with that oil in 2005 and followed it

with sunflower oil, corn oil and soybean oil varieties. "We decided to move on to other edible oils in 2008, although in a more limited manner compared with our palm oil production," Mr Kumar says.

All these products like edible oils and vegetable ghee are available in different size formats – starting from 750ml packages, to 1, 1.8, 3, 4, 5, 8, 10, 17, 18 and 20-litre containers – across multiple brands produced by the company and widely accepted across the region, Mr Kumar notes.

Private labelling prowess

Private labelling is one area upon which the company has laid more emphasis – and this activity constitutes around 45 per cent of the firm's total volumes at present.

Over the last few decades, GCC countries have witnessed the growth of supermarkets and hypermarkets, which have today almost replaced the traditional grocery shops and small retail outlets across the region.

However, this supermarket/hypermarket culture has made the shelf space very expensive for edible oil manufacturers and, being in the commodity business, it was very difficult for the company to spend more money on marketing, as its profit margins were much less. "As ours is a volume-driven business and with shelf space becoming a costly affair, we started private labelling for the edible oil products of many retail majors, hypermarkets and supermarkets in 2010. Today, we are the second largest supplier of edible oil products in the GCC region, with around 90 private labels," Mr Kumar points out.

The management felt that this was one of the ways to get some market space and it also helped the company register considerable growth in terms of increasing its sales in the last seven years.

World-class facilities

Mr Kumar says OVOD's long-term strategy has been to consolidate the business, having began on a small note but developed the company in a systematic and efficient way. In terms of

enhancing resources, the company has increased the farm tank capacity from 10,000MT to 20,000MT at present. "We have also increased the warehousing capacity as we carry a great deal of inventory due to the fact that we purchase the raw material in bulk, which has to be stored, processed and bottled," he explains.

"The company has imported the latest 150-ton-per-day refinery from the world leading refinery maker, based in Belgium. Furthermore, the company boasts a state-of-the-art, in-house packaging production unit to produce PET and HDPE bottles, caps and handles to cater to ever more dynamic market demands," he tells us.

Quality meets global standards

In terms of quality, the company has, from the very offset, insisted on the best – a mark of differentiation amongst its competitors – and has been certified by SGS Europe for food safety management in the GCC region. "We have also received HACCP and GMP certifications for implementing good manufacturing practices for all sectors, which is

mandatory for the food industry across the world," Mr Kumar mentions.

The raw material and packaged material are stored as per the prescribed standards and the company conducts regular analysis of the shelf life of the products to ensure that they meet the GCC norms.

The company has an integrated quality control management system like ISO 9001, 14001 and 22001. "We have become well-known as a quality-driven company in the region's markets for the last 10 years – we have our own internal quality-checking measures, which are more stringent than those practised by most players across the GCC countries," he points out.

Staff empowerment – the key to success

When the company started its operations in 2005, there were around 60 employees – yet that staff strength has grown to 230 today. Moreover, throughout its decade-plus journey, the management has focused heavily on empowering and engaging OVOD's staff. "In the FMCG sector, there is a flash brand to conduct business, but in



the commodity business, the principle motto is that it has to be built primarily with the team's involvement," he points out, adding that being an Omani company, the management has accorded utmost importance to Omanisation – and as such, training is regularly imparted to the employees.

Emphasising the need for employee engagement process, Mr Kumar enthuses that: "There are many Omanis working in the company and we want to empower them because they have to take the lead for the future growth of our organisation. They should rise to various positions and understand the business dynamics – our human resource development (HRD) department is very clear on that aspect." The HRD wing has instituted certain programmes to hone the skills of the personnel and a number of staff members have been sent abroad to undergo training to update their technical knowledge and other specifics relating to the edible oil industry, Mr Kumar says, adding that training programme topics include fire safety management, internal auditing, food manufacturing and good distribution practices. "These topics are essential for the sustainability of our people in running the business," he says.

Dynamic distribution

The company has also maintained a cordial relationship with its clients, including distributors and vendors, in order to utilise the supply chain network to the maximum. "It was very difficult for us to get bulk supplies of edible oil as only a few vendors



were providing the company with raw material. But the issue has been resolved as we hold meetings with a set of vendors regularly and this has assured a vast marketplace for the company," Mr Kumar says.

There is further scope to improve in terms of pricing and operational excellence, and the company believes that it can be achieved through a strong supply chain network – Mr Kumar is also confident that the business can be improved as it has regular, dedicated and disciplined supplies. "We have a clear-cut pricing methodology and our presence across the region's markets is very strong due to having experienced teams in the respective countries," he tells us.



The company uses multi-model distribution channels across the MENA region. It continues to expand its business vertical to meet the emerging needs of the customers by venturing into the distribution of other FMCGs. It has even created infrastructure for the distribution teams, and appointed representatives at various levels to market its products in all shopping malls, retail outlets and small stores.

Developing strength

Expecting organic growth in the coming years, the company has drawn up long-term and short-term plans as part of developing the business, and has already spent US\$7.5 million in the last five years to upgrade the facilities so as to meet the growing demand for its products.

Even stabilising the business and existing facilities is important for the company in view of volatility in the market relating to pricing, changing regulations of GCC governments and also the retail selling price of edible oils, which is used to measure the general price indices.

"These are our first and foremost priorities," he says.



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ties and we are even planning to invest another US\$1 million in the next two to three years to enhance our bottling capacity, with a view to adding a couple of new bottling lines," he reveals.

Growth in export markets is also very much on the agenda for OVOD. Mr Kumar advises that after stabilising the business in Oman, the company started expanding its global footprint, initially by starting a 100-per-cent subsidiary in the UAE in 2012, with multiple warehouses in Dubai, Ajman and Abu Dhabi.

As Saudi Arabia's population growth became more pronounced, the management started another subsidiary in the Kingdom in 2013. The company also opened two warehousing facilities – one in Riyadh, one in Jeddah – and efforts are being made to open a third such facility in the coming months, in Dammam. Plans are also underway to open similar facilities in Kuwait, Qatar and Bahrain by 2018.

"Since we are in the Fast Moving Consumer Goods business, the company's strength is all about its distribution network – and that is the reason why we started subsidiaries, opened warehousing facilities and also established a distribution network across the GCC region," the General Manager informs. And certainly, as the population across the GCC region continues to rise due to an influx of expats from around the world, set to participate in various infrastructure projects – especially in the run-up to the World Expo 2020 in Dubai and the 2022 FIFA World Cup to be hosted by Qatar – the per capita consumption of edible oils is also rising emphatically in the region.

At the same time, an opportunity exists for OVOD to expand into other non-oil food category products, like wheat flour, raw wheat, pasta spaghetti, dairy products, infant cereals and tomato ketchups, as consumers look to a company they trust to produce new culinary tastes for the region. "It is important for us to short-list some of these products sought by consumers and implement a system to meet their demands – accordingly, we have been procuring and distributing them," he reports, adding that last year his company established a re-export hub in Dubai for distributing such items, and that will play an important part of the management's plans to expand OVOD's business prospects in the years ahead. □





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